

FACTSHEET FS13b · US fundamentals, stock by stock

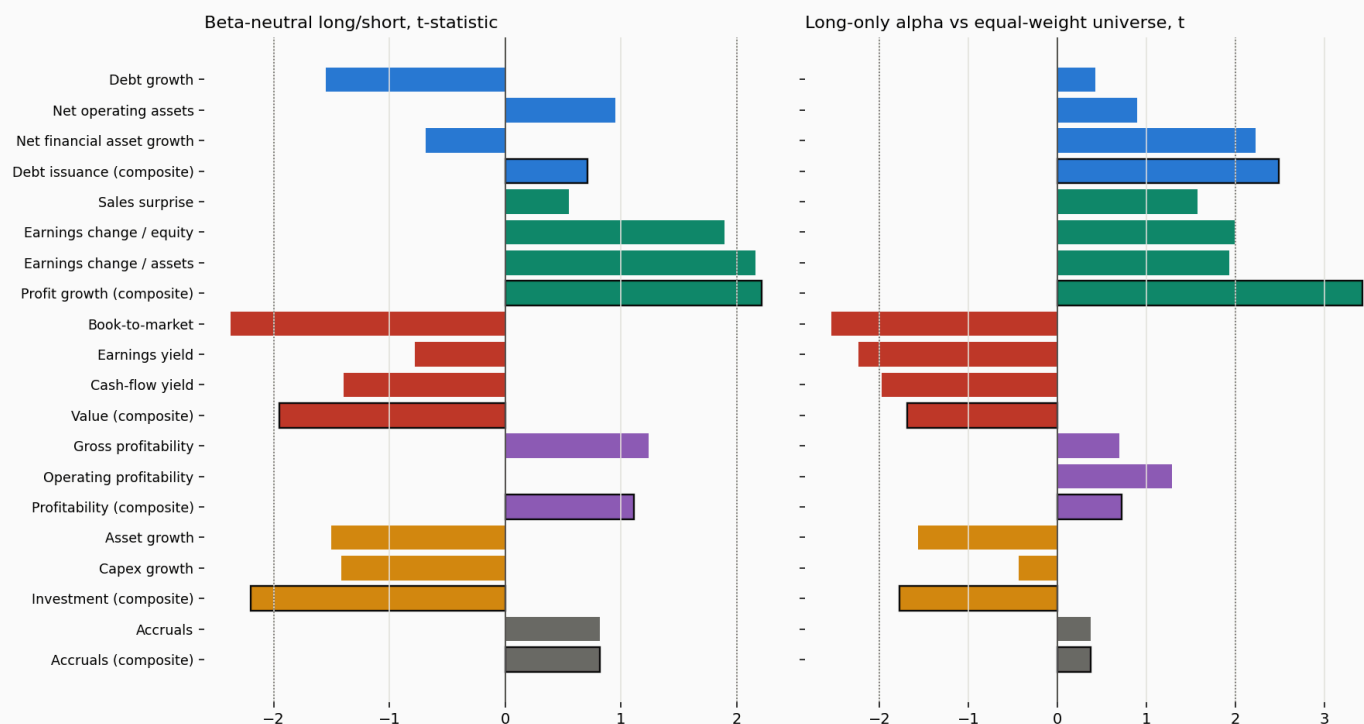
Do the published fundamental themes work in our own US engine?

Henrik Gjerner · Rude Investment Consulting · Project 10 sidebar: strategy factsheets · data to 31 August 2026

Key facts	
Universe	US, point-in-time top 500 by market cap (Sharadar), monthly, Feb 2013 – Aug 2026
Data	Sharadar SF1 as-reported quarterly filings (ARQ), used from the filing date; a filing older than 200 days is dropped
Signals	14 fundamental signals in 6 themes (debt issuance, profit growth, value, profitability, investment, accruals) plus one composite per theme
Books	top-minus-bottom decile, equal weight; long/short, beta-neutral long/short, long-only vs the equal-weight universe
Costs	10 bp per side, size-tiered borrow fee on the short leg, financing of net long cash (USD risk-free + 0.5%)
Checks	correlation with the matching JKP US factor; spanning by the price shortlist (low beta, momentum, residual momentum, 52-week high)

In one paragraph. FS13 found that the published JKP factors put **debt issuance** and **profit growth** on common ground in every segment. Built stock by stock in our US universe, **profit growth** holds up: the composite earns +7.2% a year beta-neutral (t 2.2), its long-only book beats the equal-weight universe after beta (alpha t 3.4), it is positive in both the 2013–19 design and the 2020–26 holdout window, and it keeps an alpha of +6.9% (t 2.5) after the price shortlist. **Debt issuance** is weaker here: +4.1% a year long/short (t 1.9), mostly carried by the long side (long-only alpha t 2.5). **Value** (-9.6%, t -1.8) and **investment** (-6.9% beta-neutral, t -2.2) lost money in US large caps since 2013, matching JKP's "faded in the US". Our books track the published JKP US themes closely for value, profit growth and investment (correlation 0.69–0.86) and more loosely for debt issuance, profitability and accruals (0.43–0.61), where SF1's aggregated lines differ from JKP's inputs. Profit growth and investment are strongly opposed (correlation -0.67): growing firms improve their profits and also grow their assets.

US top 500, 2013-2026, net of costs, borrow and financing (outlined bars = theme composites)



1. Data and point-in-time rules

Sharadar SF1, dimension ARQ: each quarterly report as first filed, with its filing date. At every month-end a stock carries the latest filing dated on or before that day; filings older than 200 days are dropped, so a stock that stops reporting drops out. Flows (revenue, net income, gross profit, operating income, operating cash flow) are summed over the last four quarters where a level ratio needs a year; four-quarter changes require the earlier quarter to be 330–400 days back. Market capitalisation is the month-end value from the same source used for the universe. Every signal is winsorised at the 1st and 99th percentile each month. Coverage: about 620–650 of the ~800 stocks that are ever in the top 500 have a value in a typical month; the sort uses the stocks that are in the top 500 that month.

2. Definitions

Signal	Theme	Long the	Code	JKP match
Debt growth	Debt issuance	low	dbt_gr	debt_gr3
Net operating assets	Debt issuance	low	noa_at	noa_at
Net financial asset growth	Debt issuance	high	nfna_gr	nfna_gr1a
Sales surprise	Profit growth	high	sale_su	saleq_su
Earnings change / equity	Profit growth	high	ni_be_ch	niq_be_chg1
Earnings change / assets	Profit growth	high	ni_at_ch	niq_at_chg1
Book-to-market	Value	high	bm	be_me
Earnings yield	Value	high	ep	ni_me

Signal	Theme	Long the	Code	JKP match
Cash-flow yield	Value	high	cfp	ocf_me
Gross profitability	Profitability	high	gp_at	gp_at
Operating profitability	Profitability	high	op_be	ope_be
Asset growth	Investment	low	at_gr	at_gr1
Capex growth	Investment	low	capx_gr	capx_gr1
Accruals	Accruals	low	acc_at	oaccruals_at

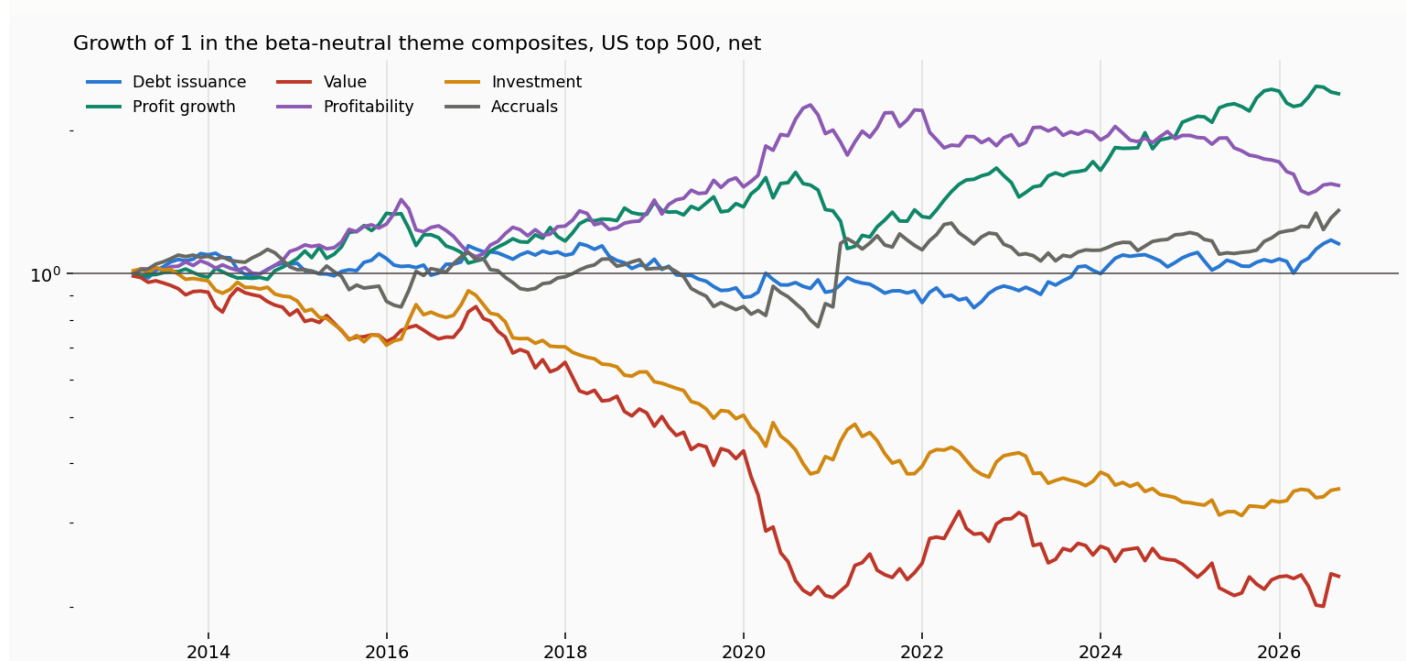
Composites average the members' percentile ranks, each signed so that high means good. Definitions follow JKP (Jensen, Kelly & Pedersen 2023) where SF1 has the inputs; net operating assets, net financial assets and the debt measures use SF1's aggregate balance-sheet lines, so they are approximations.

3. Results

Signal	L/S net / yr	Beta-neutral net / yr	Long-only alpha t	Beta-neutral Sharpe 2013–19 / 2020–26	Cost / yr	Correlation with JKP US
Debt growth	-2.9% (t -1.2)	-3.4% (t -1.6)	+0.4	-0.73 / -0.14	+0.7%	0.43
Net operating assets	+5.2% (t +1.7)	+2.6% (t +1.0)	+0.9	+0.28 / +0.57	+0.2%	0.31
Net financial asset growth	-0.2% (t -0.1)	-1.2% (t -0.7)	+2.2	-0.09 / +0.01	+0.8%	-0.10
Debt issuance (composite)	+4.1% (t +1.9)	+1.5% (t +0.7)	+2.5	+0.30 / +0.63	+0.7%	0.61
Sales surprise	+0.8% (t +0.1)	+3.0% (t +0.6)	+1.6	+0.62 / -0.25	+0.8%	0.40
Earnings change / equity	+4.4% (t +1.7)	+5.0% (t +1.9)	+2.0	-0.13 / +0.57	+1.2%	0.53
Earnings change / assets	+5.7% (t +2.1)	+6.1% (t +2.2)	+1.9	-0.16 / +0.72	+1.3%	0.58
Profit growth (composite)	+6.8% (t +1.5)	+7.2% (t +2.2)	+3.4	+0.51 / +0.42	+1.1%	0.74
Book-to-market	-8.0% (t -1.4)	-11.7% (t -2.4)	-2.5	-0.89 / +0.02	+0.4%	0.82
Earnings yield	-6.9% (t -1.4)	-2.2% (t -0.8)	-2.2	-0.25 / -0.51	+0.5%	0.49
Cash-flow yield	-6.3% (t -1.2)	-5.7% (t -1.4)	-2.0	-0.79 / +0.04	+0.5%	0.71
Value (composite)	-9.6% (t -1.8)	-9.3% (t -1.9)	-1.7	-0.87 / -0.27	+0.5%	0.86
Gross profitability	-0.5% (t -0.1)	+5.1% (t +1.2)	+0.7	+0.07 / -0.10	+0.2%	0.74

Signal	L/S net / yr	Beta-neutral net / yr	Long-only alpha t	Beta-neutral Sharpe 2013–19 / 2020–26	Cost / yr	Correlation with JKP US
Operating profitability	-6.0% (t -1.0)	+0.0% (t +0.0)	+1.3	+0.03 / -0.54	+0.3%	0.49
Profitability (composite)	-0.7% (t -0.2)	+3.9% (t +1.1)	+0.7	+0.37 / -0.34	+0.3%	0.45
Asset growth	-6.4% (t -1.2)	-6.7% (t -1.5)	-1.6	-0.80 / -0.13	+0.6%	0.60
Capex growth	-0.8% (t -0.4)	-2.6% (t -1.4)	-0.4	-0.36 / +0.11	+1.2%	0.35
Investment (composite)	-5.8% (t -1.4)	-6.9% (t -2.2)	-1.8	-0.81 / -0.14	+0.9%	0.69
Accruals	+4.5% (t +1.0)	+3.2% (t +0.8)	+0.4	-0.02 / +0.45	+0.5%	0.49
Accruals (composite)	+4.5% (t +1.0)	+3.2% (t +0.8)	+0.4	-0.02 / +0.45	+0.5%	0.43

Monthly, Feb 2013 – Aug 2026, USD. Newey–West t (6 lags). Long-only alpha: CAPM against the equal-weight universe. JKP correlation: our gross long/short against the matching JKP US factor (theme average for composites), Feb 2013 – Dec 2025.



Reading it.

- Profit growth is the one theme that works on every test.** Earnings changes scaled by assets or equity carry it; the sales surprise adds little on its own.
- Debt issuance works mainly on the long side.** Firms that shrink debt and net operating assets beat the universe, but the short leg (firms raising debt) is not reliably bad in large caps, so the beta-neutral book is flat.
- Value and investment lost** in the growth-led US market of 2013–2026. Book-to-market has the highest replication with JKP (0.82), so this is the premium, not the code.
- Profitability** is positive once beta-neutral but not significant; **accruals** are positive and weak.

5. Themes that are positive in both the design and the holdout window: Debt issuance, Profit growth.

4. Against the published factors

Theme	JKP US Sharpe before 2013	JKP US Sharpe 2013–25	Our beta-neutral Sharpe 2013–26	Correlation of our L/S with JKP
Debt issuance	+1.07	+0.43	+0.16	0.61
Profit growth	+0.44	+0.34	+0.58	0.74
Value	+0.29	+0.15	-0.56	0.86
Profitability	+0.29	+0.31	+0.31	0.45
Investment	+0.42	+0.12	-0.59	0.69
Accruals	+0.76	+0.03	+0.22	0.43

Both sources agree that profit growth kept working after 2013. JKP shows investment and accruals fading in the US; in our large-cap books value and investment went further and lost money. JKP's debt issuance is stronger than ours, partly because its definitions use detailed financing lines that SF1 aggregates.

5. Do they add anything to the price signals?

Composite	Beta-neutral return / yr	Alpha after the price shortlist (t)	R ² on the price shortlist	Closest price signals (correlation)
Debt issuance (composite)	+1.5%	+1.8% (t +0.9)	0.34	beta -0.52, vol252 -0.39, vol -0.31
Profit growth (composite)	+7.2%	+6.9% (t +2.5)	0.41	mom +0.58, hi52 +0.50, size -0.47
Value (composite)	-9.3%	-6.9% (t -1.4)	0.32	lo52 -0.57, mom -0.54, size +0.52
Profitability (composite)	+3.9%	+4.9% (t +1.3)	0.27	hi52 +0.44, size -0.41, brk55 +0.39
Investment (composite)	-6.9%	-6.4% (t -2.0)	0.18	size +0.45, mom -0.38, hi52 -0.31
Accruals (composite)	+3.2%	+0.9% (t +0.3)	0.17	ivol -0.44, hi52 -0.36, range -0.36

Regression of each beta-neutral composite on the beta-neutral low-beta, 12-1 momentum, residual momentum and 52-week-high books (FS13), Newey–West t.

Profit growth keeps most of its return after the price signals: it is related to momentum (firms with rising earnings tend to have rising prices) but not explained by it. This makes it the strongest candidate to add to the multifactor model.

6. How the themes relate

	Debt issuance	Profit growth	Value	Profitability	Investment	Accruals
Debt issuance	+1.00	+0.18	-0.06	+0.05	-0.03	+0.11
Profit growth	+0.18	+1.00	-0.54	+0.53	-0.67	-0.35
Value	-0.06	-0.54	+1.00	-0.54	+0.67	+0.18
Profitability	+0.05	+0.53	-0.54	+1.00	-0.60	-0.45
Investment	-0.03	-0.67	+0.67	-0.60	+1.00	+0.54
Accruals	+0.11	-0.35	+0.18	-0.45	+0.54	+1.00

Correlation of the beta-neutral theme composites, monthly.

7. What goes into the multifactor model (FS14)

- **Add:** the profit-growth composite; debt issuance as a long-side tilt.
- **Keep as diversifiers, not as return sources:** profitability (low correlation with momentum), value (negatively correlated with profit growth and momentum, so it may pay in the next reversal but has cost money since 2013).
- **Leave out:** investment and accruals on their own; their information is largely inside profit growth and value.
- All of this is US only. For the other five markets, JKP factor returns remain the only fundamental source until a global fundamentals feed is added (FS00).

8. Caveats

- **Financials are included;** ratios such as gross profitability and net operating assets mean little for banks and insurers. A sector filter needs industry codes (FS00 gap).
- **US only,** top 500, equal weight; JKP is value-weighted over the whole market.
- **Aggregated balance-sheet lines** make the debt-issuance measures approximate (JKP correlation -0.10–0.43).
- **Multiple testing.** 20 signals × three books add 60 trials to the factsheet ledger, now 265 in all. Programme-wide, 1 of the 60 survives the Benjamini–Hochberg correction: Profit growth (composite) (long-only alpha vs EW, US); its deflated Sharpe ratio is 0.67 on the lenient bound, below the 0.95 bar (planning/FACTSHEET_TRIAL_LEDGER.md).

9. References

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